Kopi Time E170: Bernard Haykel on foreign policy in the Americas and the Middle-East

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Hello, this is Kopi Time, a podcast series on markets and economies from DBS Group Research. I'm Taimur Baig, Chief economist, welcoming you to our 170th episode.

Today, we'll take a deep dive on US foreign policy with a focus on the Americas, but also much more so on the Middle East. And I can't think of a better person to do that. Bernard Haykel is Professor of Near Eastern studies at Princeton University. This is his 3rd time on Kopi Time. He was an early supporter of this endeavor, appearing on episode 7, back in April 2020, and then again on episode 99 in April 2023.

Bernard Haykel, welcome back to Kopi Time.

Bernard Haykel

Thank you, Taimur. It's a real pleasure and I'm a huge fan. I listen to Kopi time almost all the time, here in Princeton, so it's lovely to be back.

Taimur Baig

And I really, really appreciate your support, and the fact that on this very snowy, cold day, on a Monday morning, you'll set aside time for us. I really appreciate that.

Bernie, and I will call you Bernie if I may, to say, Professor Haykel. The Donroe Doctrine, what are the precepts and how do they differ from past US administration's policies?

Bernard Haykel

Ok, so, the reference is really to the Monroe Doctrine, which is a doctrine from 1823 that the US President Monroe at the time had outlined and had become a policy. Essentially the policy back then in the 19th century was that the Western Hemisphere was off limits to European imperial powers. This was sort of an American sphere of influence, and the US would not tolerate the British or anyone else coming into South America, etc. The Donroe Doctrine is sort of a revival of that and a kind of strengthening of that doctrine, which had more or less lapsed and the first mention really of the Monroe Doctrine again came with John Bolton, I think in 2019, who used to be the national security adviser of President Trump, and they broke with each other and Trump hates him, but Trump seems to have taken on board this hawkish view of Bolton. And essentially President Trump has this imperial vision for the United States that goes back to President McKinley in the late 19th century. A lot of people talk about it and try to intellectualize and conceptualize it as some sort of very sophisticated worldview that President Trump has. He thinks of the world in terms of the old imperial spheres of influence and the US will have the Western Hemisphere and then somehow the Russians can have parts of Central and Eastern Europe, and the Chinese can have their sphere of influence in the Pacific or in the China Sea. I don't think that's true. I don't think that Trump actually has such a sophisticated view of global politics and is trying to kind of reimagine global politics according to a new set of principles. I think he's very opportunistic. I think he's very transactional. He sees a very powerful military. He also sees that the Chinese and the Iranians and to some extent the Russians were involved in certain countries in Latin and South America, and he wants them out. He initially had this strong view about the Panama Canal, taking ownership back. We saw that he took out an arrest, basically, kidnapped, President Maduro from Venezuela, but didn't change the regime itself, he was trying to come to some sort of accommodation with the regime.

So, it's a kind of new way of doing things without full regime change, and this has implications for the Middle East as well. I think, when it comes to Iran and it's this view that America has is that it wants to dominate the world, and it'll begin with the Western Hemisphere, not just in South America, also the pitch and the claim that Greenland belongs to the United States is also part of this kind of worldview. It's driven also by his deep desire to go down as one of the greatest Presidents in the US, and if he acquires a territory like Greenland,

he'll be the first President who has expanded US territory, since the early 20th century, and so that's what's behind it. I think it's not some sort of grand theory about the world and about how the world should work. It's just a bully style approach to politics and it has implications for China, by the way. I don't think the fact that he is interested in the Western Hemisphere means that he's going to allow China to dominate its sphere of influence. It doesn't have that implication at all.

Taimur Baig

So, Bernie, just from a cost benefit perspective, I guess it wasn't that costly, the intervention in Venezuela, and there are some potential benefits in the sense that those who are close to Trump's circle own oil assets, could get lots more refining contracts, and so on. But do you see this first big salvo of exercising utter total domination in the Western Hemisphere is a success already, or would you say that it's fraught with danger? I'm thinking can Venezuela really be as pliable as Trump thinks that it'll do its bidding as far as drugs and oil, but on everything else they can do whatever they want, and Trump doesn't really care. Could it really work out?

Bernard Haykel

I think it's a success for Trump in terms of headlines, in terms of making a fancy headline. Trump is stuck in the 1970s because he became politically conscious in the 1970s when you had the two massive oil spikes in 1973 because of the Arab oil embargo and then the Iran revolution in 1979. He saw that the richest people on the planet and the biggest transfer of wealth that took place in his lifetime took place in the 70s with the rise in oil prices. So, he's a very kind of oil centered, oil obsessed. He thinks that that's where wealth is and he thinks that capturing resources in that way especially oil, will make all the difference to the United States. It's a bizarre, frankly, worldview because oil, as we know, is becoming less and less important. It's still very important, of course, but in the case of Venezuela specifically, even though they have the largest reserves in the world, it would take many billions of dollars and many, many years to actually be able to rehabilitate and then develop those oil fields, and even then you may get 3 million barrels, 4 million barrels at most. It's not a Saudi Arabia in terms because it's much more difficult oil to produce, and it's a very expensive oil to produce compared to Saudi Arabia in terms of the cost curve.

The premise of the action in Venezuela is based on this idea that oil will start flowing and it'll be very quick, and American companies will benefit. Actually, he invited all these American companies to go back into Venezuela. They didn't want to go, he'll get some wildcatters or cowboys in the oil industry who may be willing to take a risk, but it's not going to happen. I mean, Venezuela is just not going to become a great oil producer, not for a long time.

And so, I think that substantively it's a failure, in terms of media, in terms of showmanship, which is what Trump is good at. He can market it as a success, especially since now he's very, very anxious about the midterm elections next November, and he wants to be able to present himself as someone who has delivered for the American public, especially in terms of low oil prices. For him low oil prices equal winning in elections.

Taimur Baig

Right. And as we know in real terms, oil prices are already pretty low, and the real risks to inflation in the US comes from a wide variety of factors, not at all energy related. Bernie, but energy will or oil flow to Cuba will come to a standstill from Venezuela and now squeezing further to stop providing the lifeline. So, it seems to me that the ambition to create like a cascade of regime change or government failures is substantial.

Bernard Haykel

I think that Cuba is the weakest link, and the one thing about Trump that I think, one has to hand it to him is that he really has a keen eye on sort of weakness, and if he sees a weak regime that can be pushed and bullied at minimal cost to the United States, he will do it and you can see this, for instance, even in the attack against Iran, it was the Israelis last June after 12 days of having basically annihilated the Iranian air defense system that allowed then Trump to come and bomb with no risk to American airplanes. And so, like a predator, he'll see kind of the weak member of the herd and then go after it. And so yes, countries like Cuba are definitely going to be under pressure and he'll exert a tremendous amount of pressure to try to not necessarily change the regime, but to get the regime to alter its ideology, its politics, its orientation and he's perfectly happy with that.

Taimur Baig

And is there some sort of a Marco Rubio 2028 election angle here too that somehow impressed the Hispanic voter base by giving Cuba back to the Cuban Americans or something like that?

Bernard Haykel

Yeah, I think he has given Latin America and South America's policy to Marco Rubio, which is, what Marco cares about a lot, but the thing is, in terms of who the candidate will be in 2028, I think that's still very difficult to determine. In fact, there's very serious competition between Marco Rubio on the one hand and JD Vance, the Vice President, on the other, and I suspect also that the President's son, Don Junior also has ambitions, and Trump will kind of make all these guys around him jockey and fight with each other.

And I suspect that he is ultimately a kind of very monarchical in his view of politics and probably will want the succession to go to his son. I mean this is speculation on my part, but my sense is that he admires monarchies and he wants to think of himself as a monarch. So, in monarchies, it's the sons who inherit it.

Taimur Baig

Fascinating. Ok, to our listeners, you heard it here first. We'll, we'll keep an eye on that prediction, Bernie, in the coming years. But final point on the Americas, when you and I were discussing, setting up this podcast a week and a half ago, Greenland was at the front and center of all the headlines. At Davos, we had a bit of a climbdown. What do you make of this whole Greenland saga?

Bernard Haykel

So, there are several narratives about it. On the one hand, some people say it was a major distraction and a deliberate one, orchestrated by Trump and his people in order to actually focus on developments in Iran and in Ukraine. And so, he got all the Europeans and others in their knickers in a twist about Greenland, when in fact he wasn't going to push that while the aircraft carrier strike group was moving towards Iran and Steve Witkoff and Jared Kushner were negotiating with the Russians on a final deal with Ukraine, where apparently there's only one outstanding issue remaining, which is that of land, how much land the Russians will acquire. My sense with Greenland is that he is serious about wanting it, but at minimal cost. He just wants the Europeans to hand it over to him on a silver platter. And when he realized that in fact if he reimposed tariffs, it would be costly economically, if he moved in militarily, it would be costly in other ways, he wants it at no cost. He wants it just like he wants it as a freebie, and that's just not going to happen.

So, I imagine ultimately the agreement will be based on what already exists, which is that the US has full military access to that territory and will continue to defend it against, you know, alleged or supposed future threats from either China or Russia.

Taimur Baig

And in terms of this being an existential development as far as NATO was concerned, I guess you don't think it was that big a deal.

Bernard Haykel

No, I don't think so. I don't think Trump will break NATO, I don't think so. I think he's just squeezing people and he's a showman, he wants news. I mean, the thing about him is that he wants us to talk about him all the time, every day, and I am very kind of resistant to that because I find that he takes up too much of space, and in fact you're playing into his game and his hand by paying attention to him so much when most of what he says is irrelevant ultimately.

Taimur Baig

Yes, Bernie, unfortunately, we will be playing into his hands for the next half an hour because I want to hear from you a bit about the Middle East. You were just talking about movement of military assets from my neck of the woods in South China Sea all the way to the Straits of Hormuz and around there. What is going on?

Bernard Haykel

So as I said earlier, Trump sees the weakest link in what is called like this axis, that is an axis of resistance or an axis of opposition to the United States, it includes China, Russia, Iran, Venezuela, he wants to pick off the weaker ones if he can, especially if it doesn't involve major military activity. So, I don't think the US is going to be involved in a major war with Iran. I suspect that the Israelis want another war with Iran and the US assets are probably there either as support or to collaborate with the Israelis should they attack. And this is the great fear that the Arab Gulf states have about Iran is that the Israelis haven't finished because they do want regime change in that country and they want to also obliterate the ballistic missile capabilities of the country. I don't think that's easy to do actually. I don't think there is any easy way to get rid of the regime in Iran, and I'll say this for a number of reasons, just if I can talk about Iran briefly.

First, the Iranian regime has 25% of the population on side, meaning that these are people who are willing to fight to preserve the regime because they benefit from the regime.

Second, we have not seen any cracks in the security services, the core security services and institutions of the regime. And right now, Iranians have been demonstrating beginning in late December and lasting into mid-January, and the regime killed thousands of people of these demonstrators. They're varying estimates between 3000 to 4000 to up to 30,000 to 40,000 people killed. And we've seen no cracks in the regime or the regime's capacity to use brute force against its own people, and that's a source of strength. It's not a source of weakness because it shows you that in fact the security services are still coherent and solidly together.

I would say the other reason why the regime is quite resilient in Iran is because the opposition is completely fragmented. There is no opposition figure, and the fact that the Iranian demonstrators who were demonstrating initially for economic reasons, some of them started calling for the former Shah's son, Reza Pahlavi. The fact that they're calling for someone like Reza Pahlavi to return is a sign there is no domestic opposition figure. I mean, it's a kind of call of desperation to someone who is an impossible candidate actually for leadership in Iran. He has no chance ever becoming a leader in Iran. So, it's a sign again of the opposition's fragmentation and weakness. So, I see this regime, despite all its many failings, economic, ideological, etc., as still being quite resilient and no attack by the United States or by Israel by air is going to topple it. Even if you remove the Supreme Leader and you kidnap him in Maduro style, the regime is still quite tough.

Taimur Baig

Right, actually, that's exactly where I wanted to go to that, I remember during that 12-day war, Trump was boasting that he knows where Khamenei is, but he's choosing not to kill him.

And my understanding is the Israelis did try to decapitate the regime. They just didn't succeed. There was this one particular building that they bombed, but nobody ended up dying in that one. So, this tension between Israel and the US, which tend to have divergent objectives in this issue, but in the past Trump has fallen in line with whatever Netanyahu has led him toward doing. So do you think it could be one of those cases where even though Trump is viscerally against deploying large assets in the Middle East, Netanyahu sort of leads him into it.

Bernard Haykel

Netanyahu can lead Trump into a situation if Netanyahu is seen as winning. I mean, Trump is not going to back a losing horse. If Netanyahu looks like he's going to win, then Trump wants to be on the side of the winner. And so, it's very important. I don't think that Netanyahu can drag Trump into a losing proposition.

And I think that's key for understanding Trump's psychology and how Trump behaves. As I said earlier, he only got involved in the Iran attack at the end of the 12 Day War when it was very clear that it would be a slam dunk for him. So, he's not going to get involved in a situation where it's not a slam dunk. So, the Israelis will have to do the heavy lifting, will have to show that they're winning, and then Trump might get involved like a coup de grâce, as the French say, like a final blow.

Taimur Baig

In the case, I'm just pushing this line a little further, Bernie, if I may, that Israel is close to really destabilizing Iran and the regime in Iran is basically seeing, it's the last gasp of air left. In that case, would it fail and start attacking oil assets or otherwise in the region? I basically have Saudi Arabia in mind.

Bernard Haykel

Well, that's definitely the Saudi fear and I think the UAE's fear, certainly the Kuwaiti fear as well that of Qatar, which is that in an existential moment of crisis for the regime, for the mullah's regime in Iran, that the regime will try to lash out at the global economy, and the only way to do that is to attack the Arab states of the Gulf, especially not just oil, the classic line is that they would block the Strait of Hormuz and they would prevent oil from being shipped and all that. That's really not, I think, how Iran would go about doing this. What it would do is it would attack desalination plants and communication systems and electricity generation plants, as well as oil installations.

And that would really cripple these economies because of their dependence on electricity and on water desalination in particular. So, the Iranians have the capacity through short range missiles and drones to inflict a tremendous amount of damage.

And there are no capabilities for blocking those types of weapons systems because they swarm and they're not like the weapons that are being used to defend Israel. These are different, that threat is different, and so far, those countries don't have the capability of defending against them, and the Iranians showed this very effectively in September 2019 when they attacked two Saudi oil installations and incapacitated the production by about 50% for several weeks, 50% of Saudi oil production. So yes, the Iranians have this capability, presumably the move of this strike force, American strike force to the Gulf is to tell the Iranians, if you are attacked by Israel and you think that you can destabilize the global economy, we will obliterate you, as it were. So don't go and do what you have threatened to do, which the Iranians have done, by the way, with the Arab Gulf states, is that they've said we

would launch attacks openly. They've said this against these installations. I think that's where you have a real difference between Saudi Arabia on the one hand and Israel on the other when it comes to Iran.

The other view that is important to keep in mind is that from the Saudi perspective, Iran is a neighbor and it's not going to go away. And if you destabilize the regime to the point where it falls, you might end up with a civil war in Iran or a splintering of Iran, which creates refugees, which creates lots of chaos in the region, and that's something that the Saudis, the Emiratis and Kuwaitis would have to deal with immediately, whereas the Israelis are fairly distant, as are the Americans. They won't necessarily have to contend with that consequence. So, the Saudis and the Gulf Arabs have a long-term view because they are neighbors of the Iranians, whereas the Americans and the Israelis just don't seem to care what happens to Iran.

Taimur Baig

To what extent are the Qataris or the Emiratis or the Saudis capable of sending that message to the White House, and to what extent would the White House be amenable toward those fears and concerns?

Bernard Haykel

I think the White House is actually amenable and actually they have received, even though the Saudis deny it and so on, but they have received these messages over many years, not just recently, that Iran's long-term situation matters and it's because they don't want to see the region destabilized further from what it already is. If you're Saudi Arabia, you look to your south in Yemen, there's a mess and a civil war. You look to the west, you see Sudan, there's a war and chaos, you look to the north until not too long ago, Syria was in chaos, and the war in Gaza as well. So, you're looking around and you're seeing a lot of instability, and you want stability because you want to get on with the business of diversifying your economy, building out your infrastructure, building new sectors in your economy, you can't do that if there are missiles and bombs and drones flying around all over the place and you're being attacked for being an ally of the United States.

Taimur Baig

So, Bernie, that takes me, since you brought up the issue related to the economy. So, I see the tech bros in the US very close to the Middle Eastern, oil rich, wealth rich economies. You see the likes of Saudi being a very sort of eager investor in the whole AI buildout and the open AIs of the world, you know, always will have their roadshows going to the Middle East because there are deep pockets. So, in terms of, let's say Saudi Arabia to start with managing its economy, scaling back some of the very ambitious projects, dealing with fairly lackluster oil price, how is MBS managing Saudi Arabia right now?

Bernard Haykel

Right, so I think that an important distinction has to be made between Saudi Arabia on the one hand and the UAE and Qatar and Kuwait on the other. Saudi Arabia has 24 times the population of the UAE. It's a much bigger country. It has real kind of politics, real economic challenges, unlike the UAE with, 1.2 million population, you know, there are 9 million guest workers, but they don't really count. So, the UAE has plenty of money to spend on its own population. Even at USD50 price of oil, it doesn't face a crisis, whereas Saudi is facing a crisis in that the oil revenue is not sufficient as a breakeven price for its fiscal demands on its budget. It needs actually a much higher price. I mean, closer to USD90 a barrel to be able to balance its budget. And then it has these huge projects, some of which like Neom, for instance, which is this big city, and territory the size of Belgium have not delivered economically, and they've had to scale them back very significantly. So, the Saudis are borrowing a lot of money internationally and

domestically. They do this either through the government or also through Saudi Aramco, the oil company, or through the sovereign wealth fund. So, there are these amounts that are borrowed that don't appear on the state budget.

And I'm not sure Trump actually realizes there's this difference between the Saudis and the Emiratis and the Qataris when it comes to how much disposable income they have and the Saudis, just like the Emiratis, but especially the Saudis, MBS believes that AI is sort of a silver bullet. It's going to really help transform the global economy, and he wants to be part of that transformation, and it'll bring the alternative to oil in terms of revenue for the country. And so, what he has to offer for AI and building these data centers is not so much capital, although he does have capital for that. It's the fact that he has the lowest cost of energy production in the world between gas and solar and wind. It's also that he has endless amounts of land that he can give. A low to non-existent regulatory environment for the development of AI, which is very important because in the US you do have regulation that hinders certain things when it comes to AI development, so it's an environment where you have an incredibly hospitable energy, capital, land, and regulatory sort of situation, and that's what he hopes will enable and will attract these AI companies to come and develop data centers. Now how do you go from developing and allowing data centers in your country to be built? So, Neom, for instance, now is going to be turned into mostly AI data centers, into revenue, I mean, are you going to share the IP with these companies, are you going to develop a domestic human capital that will be the best in developing these data centers? How do you translate the data centers into jobs, into revenue, into foreign direct investments, into basically helping transform the country, according to Vision 2030, this vision of diversification, I'm not sure. I don't see the links very clearly between the two, other than this belief that AI somehow will magically generate a lot of wealth. How, I'm not quite sure for the Saudis at least.

Taimur Baig

I just want to stay with Saudi a little longer. How is Saudi playing US on one hand and China on the other hand, because you're talking about tech. We might be heading toward a world where we have parallel tech developments, Chinese AI versus US AI, multiple standards, and so on. Is Saudi Arabia remaining open to both?

Bernard Haykel

The last time I spoke to the Saudi leadership about this, which was, a few months ago, they still believed that the US had superior technology and that they wanted to go with the better technology over the Chinese, which was inferior and that they were willing, at least they said they were willing to selectively sever their ties to the Chinese on certain technologies, especially those that the US will insist are off limits to the Chinese. So certain chips I would imagine and other types of data. So, the choice is to go with the US just like the choice to go with the US when it comes to military platforms and military hardware where they feel that the Americans are superior and there's a legacy here as well when it comes to military armaments and so on. So, the choice is very much to say, on tech, we will be with America. And on other issues, let's say infrastructure, building railroads, building bridges, sort of petrochemicals, we're fine being with the Chinese, solar energy, with China So, they're going to segment the economy in that way.

Taimur Baig

I'm sure in your recent travels to Saudi, you've seen a few Chinese EVs on the roads.

Bernard Haykel

Oh yeah, absolutely. There are Chinese EVs and also the Saudis, by the way, are developing their own EVs. They have this huge investment in

Lucid, which hasn't done very well, but they have placed a bet also on EVs themselves.

Taimur Baig

Now, as you were saying earlier that Saudi Arabia is a huge country with its own internal political dynamic, and it has a rather restive regional tension all around. I want to talk a little bit about Yemen, not because of Yemen, but more the whole UAE - Saudi Arabia tension that has sort of come out in the open in the last month or so.

Bernard Haykel

Look, Yemen is a very, very complicated country, and I don't want to get into the weeds because I'll lose your audience if I talk too much about Yemen. But I think what's interesting about Yemen is that it shows that there are real tensions between Saudi Arabia and the UAE, and those tensions are not just about Yemen. They're actually structural, and they're very deep and they have to do with a difference in how you do politics, how you think of the region and there is also economic competition between the countries. So, let's just talk structurally. First, Saudi Arabia is the 800-pound gorilla. It's a big, big country in this region. And it sees the UAE, Qatar, Kuwait, Bahrain, and to some extent Oman as well as sort of these smaller countries that should kowtow to the Saudis. So that's one view. And of course, that's resisted by the UAE and by the smaller countries because they feel that they're equal to the Saudi. But you know, historically that's not been the case. And the Saudis certainly don't feel that way about them, that they're not equals, you know, the survival of Saudi Arabia, it is crucial. Without Saudi Arabia's success, none of them can succeed. None of them can actually survive. And so that's one point. The other point again, Saudi, UAE is that they're both major oil producers and both have major spare capacity. And when you have spare capacity, which is the capacity to produce oil fairly quickly, but that you're not producing because of economic global considerations or because you want the price to be at a certain level, so you're keeping production from coming onto the market. That's an extremely expensive proposition, because you've developed these capabilities and you're not producing them. And you only do that if you want to play the market and be a market stabilizer, and that's how Saudi Arabia sees itself. The UAE has also built the spare capacity, but it doesn't see itself as a market stabilizer. It wants to produce as much as possible to generate as much revenue as possible before the energy transition happens and oil becomes a much less valuable commodity. So, I have a different attitude when it comes to oil and production. And that clash is bound to happen because of the spare capacity that they both have and this different view on what to do with it. Then there's the difference between them in terms of the UAE having an obsessive policy of fighting Islamism everywhere. So, the leader of the UAE hates the Muslim Brotherhood. This is Mohammed bin Zayed, and anywhere he sees elements of the Muslim Brotherhood in power or coming to power, he will support the opposition to them. So, he's done that in Sudan where he's supported the Rapid Support Forces. These are kind of very violent militias that have been involved in genocidal acts, and while the UAE doesn't support genocide, it will support a genocidal person and movement because it doesn't want the Sudanese army to dominate the country because the Sudanese army is riddled with and full of elements of the Muslim Brotherhood. Similarly, in Yemen, they don't want to be involved with any Islamists, so they've backed a secessionist movement in South Yemen, it's called the Southern Transition Council, and so the UE has this kind of imperial ambition to build networks with non-Islamists around the place and have bases and ports in Somaliland, in Yemen, in Sudan, and so on, and the Saudis feel that they're being encircled by the UAE, by kind of this smaller country, and they don't want that, they don't want to be encircled. And so the straw that broke the camel's back was when MBS visited Washington last November and he met with Trump, and he

asked Trump to get involved in this, in ending the Sudanese civil war which meant basically putting pressure on the RSF, putting pressure on the rapid support forces who are being backed by the UAE. UAE saw the MBS's ask of Trump to get involved in the Sudan. By the way, I don't think Trump was aware that there was a war in Sudan, or he doesn't know where Sudan is. But anyway, leaving that point aside for a second, the UAE saw MBS's ask of Trump as an ask to sanction and put pressure on the UAE. So, the UAE said, Oh, you're going to put pressure on us in Sudan. We're going to put pressure on you in Yemen by having the forces that we back take over several provinces that are on your territory, on your border, on Saudi's border. So, the Saudis basically said, look, there are certain countries that are really important for us that are on our border, and you're not going to play around here and try to impose who's going to rule. So, they drew a red line in the sand on Yemen and then decided to intervene and pushed the RSF back out of those provinces that they had taken over and pushed the UAE out or at least try to push the UAE out of Yemen. So that tension between the Saudi and the UAE is unfortunate. It's because the two countries actually share a lot of common political interests for stability in the region and so on but there is also competition between them. Saudi wants all the companies that do business in the Gulf to move their headquarters to Riyadh, not to stay in Dubai. They don't want UAE to compete over business. They're building a new airline in Saudi Arabia that's going to compete with both the Emirates and Etihad.

So, they're trying to build a logistics hub and a tech hub and all that. So, they're in direct competition with each other. As long as the competition remains about economics, I think it's fine, but once it enters into politics and it involves non-state actors being backed or military confrontation, then it becomes quite dangerous.

Taimur Baig

Indeed, Bernie, 5 years ago when I used to go to Dubai, I saw these 50-60-meter-tall posters of MBS and MBZ side by side. That was a long time ago, it feels like because clearly no more posters like that anymore. This takes me to the other big player in the Middle East increasingly so. It's this increasingly imperial Israel, from Syria to Lebanon to Somaliland to Yemen. Israel's hands are everywhere these days. Where is Netanyahu going with this broader Israeli idea?

Bernard Haykel

So, I think again in Israel we need to think about this present government, is dominated by extreme right wing elements that do have imperial ambitions and that do want to see the victories that Israel has had militarily, whether over Hamas or Hezbollah in Lebanon, Hamas in Gaza over Shiite militias and Iran itself, Shiite militias in Syria. I mean, the toppling of the Assad regime could not have happened without Israeli intervention in that country. They want to see Israel also expand a kind of idea of greater Israel, take over and annex the West Bank, keep hold of certain territories that they've taken over in Syria, maybe even bits of Lebanon, although they say they don't want to stay in these five villages that they still control in Lebanon. And so, the way I see the Middle East, there are two views on politics. You have the revisionist camp that wants to change the order, and so the Iranians want to change the order in the region by destroying Israel and getting rid of the Americans and toppling the regimes in the Gulf. And then you have the Israelis who are the other side of the same coin. They also have this revisionist view, of wanting to change the order of the region, by toppling Iran and expanding their own territory and then you have this other camp, the camp that's led by the Saudis, but also includes Egypt and other countries that wants stability, wants economic prosperity, development. They don't want to change the status, they're not revisionists. They want the status quo. They are also happy with American power and American domination of

the region. And so, you have these two camps and the Israelis kind of unfortunately, with this government, fit in with this revisionist view. And the only power that can stop the Israelis from doing what it is they want to do is the United States. I mean, essentially there's no other force, power that has influence on Israel other than the United States, unless, of course, domestically, within Israel, you have a movement that finally decides to take Netanyahu to task for the failures of October 7, blame him for that failure, a more moderate camp emerges that wants to see the emergence of a Palestinian state, very unlikely at the moment. But the Saudis in viewing this conflict, between the Israelis and the Palestinians, essentially have a very simple analysis. The question of Palestine is not going to go away unless you address it and give Palestinians self-determination in some form, and the Saudis don't want to dictate what that form will take. You're always going to have a source of radicalization, a source of instability in the region, because the Iranians or the Turks or anyone else is going to invoke Palestine and the suffering of the Palestinians to inflame sentiments and to inflame and make people feel radical and resort to violence against Israel. So, Israel, this is the Saudis speaking, sort out the Palestinian, give them something so that we can move on. We can all move on and then integrate the region, bring Israel into the region, and have this kind of European Union style order in which everyone is trading rather than fighting. That's the Saudi position on the Palestinians and effectively they're asking the Israelis to pay lip service to the Palestinians and to do something cosmetic. I mean, I don't think they're asking for something very substantive if you listen carefully and the Israelis are unwilling, completely unwilling to do this, and it's because they feel that they can win and they can establish a greater Israel and deny the Palestinians forever a state. And as a result, you will have instability in the region.

Taimur Baig

What do you make of this bard of peace?

Bernard Haykel

It's very hard to know, the idea that somehow, the solution to the Palestinian issue is not so much political but economic. Like if you build enough buildings or if you build a Riviera or if you build structures that somehow, the solution is through a real estate development project. I mean, let's just call the border peace a fancy real estate development project, that's going to bring peace. I find that difficult to believe. I mean, ultimately the problem is political. And unless that's addressed, no number of buildings and no number of casinos and no number of infrastructure developments is going to end up solving the Palestinian issue. So, it has to be tackled head on, I think.

Taimur Baig

Just to go back to Israel for one second, this recognition of Somaliland. Another piece of a bigger plan, or it just happens to be the case where, to your point of, find one place where you can assert your power and you just seize on this random place that nobody really has heard of.

Bernard Haykel

So, look, the Saudis in their clash with the Emirates have basically been saying that the Emirates are being used by Israel, that the Israelis have this grand design, and the Emirates don't have their own, they're not smart enough to have their own kind of policies. They're the cat's paw of the Israelis, and the Israelis have this grand design of dividing up the region, keeping Arabs divided.

So, getting involved in Somaliland and recognizing it, supporting the RSF in Sudan, supporting the separatists in Yemen, this is all part of a grand Israeli design to keep the region divided and in flux and that serves Israel's long-term interests. I think the kind of conspiratorial

view that Israel has some sort of grand design for the region and that the Emirates is sort of playing into it is too simplistic. I mean, the Emirates have their own policies. They have their own reasons for doing what they do, and I described some of that earlier about MBZ and his anti-Islamist position and so on. I think the Israelis are just basically opportunists. I mean, if they see an opportunity to create a base for themselves in Somaliland, which I think they want because this is the entrance to the Red Sea, they would want to have a listening post and a military position in that region, just like other countries want to have a military presence and they will go for it. I don't think the Israeli position is based on some sort of grand design for the region. It's more an opportunity that they can seize for direct immediate results, which is control of the entrance to the Red Sea.

Taimur Baig

So, the Saudis and the Egyptians are cognizant and are completely accommodating of Israeli naval assets moving through the Red Sea.

Bernard Haykel

Well, I mean, they have to in terms of the international maritime shipping, they have to allow it. I mean, are they happy about it? No, I don't necessarily think they are happy about it. They also have their own ambition, and they see that as their kind of backyard, especially in the case of Saudi Arabia, if you look at most of their plans for big projects, they're almost all on the Red Sea, whether it's Neom or whether it's the tourist resorts and the data centers, it's all kind of Red Sea related, so no, they're not happy about the Israelis being there. I mean, unless you know the Israelis are part of a grand security infrastructure that's overseen by the United States in which they're all equal partners or members, then, I think there could be some accommodation. But this sort of Somaliland thing though, the Saudis are not happy about it at all.

Taimur Baig

One place that I fear will start catching headlines very soon is Lebanon. Do you worry about a major conflagration in the government's inability to disarm Hezbollah?

Bernard Haykel

You know, Lebanon is a basket case. I mean, economically, I don't see the possibility of a major military conflict among the Lebanese, not least because military conflicts cost money. Bullets are paid for in dollars, not in Lebanese pounds, which is worthless. So, unless there's an outside force or power that's subsidizing the Lebanese to buy weapons and to fight one another, it's not likely to happen. And at the moment we don't have outside powers meddling really inside Lebanon and giving lots of money. I mean, Iran is still trying to support Hezbollah, but the Lebanese government is not going to fight Hezbollah, because Hezbollah represents a very serious constituency of Lebanese, and they still have their weapons, and it doesn't serve anyone's interests. So, I think Lebanon will just keep muddling along, and until and unless they resolve their bureaucracy, their government, their administration, and are able to attract capital, mainly from the diaspora. By the way, the Lebanese don't need the help of other countries like the Saudis or any other countries or the UAE. I mean, if they could get their act together in terms of proper governance, and a good, solid banking system, they have the human capital and they have the financial capital, just with their diaspora to rebuild their country quite easily.

Taimur Baig

You don't see hundreds of tanks rolling into Lebanon from Israel.

Bernard Haykel

I know what I see is that the Israelis are going to keep attacking almost on a daily basis like they've done and picking off, Hezbollah

operatives and fighters and arms depots as and when they see them. I don't see the Israelis going to war in Lebanon, because why should they at the moment, they have Hezbollah, pretty much on its knees and they're still kind of debilitating, as I said, on a daily basis, Hezbollah's assets.

Taimur Baig

Final point, I'm sorry, I'm kind of rushing you through really complex issues, but if anybody can help me do that, it's you, Bernie. Turkey, Syria, and the Kurds, this seems to be becoming a bit of an explosive mix as well.

Bernard Haykel

Yeah, so you know, the Syrian government that's taken over this is a movement called HTS, Hay'at Tahrir al-Sham, and it's led by Ahmed al - Sharaa, the President of Syria right now. He's a kind of an interim President. They owe their survival to the Turks, to support by the Turks, and they were essentially a kind of Turkish, I don't know if you would call it a Turkish asset, but a Turkish-backed force that took over Syria. And the Turks felt that they could now have a sphere of influence spread into Syria because of this movement. The Turks don't have the financial resources to rebuild Syria. Syria is devastated, and it's going to require many tens of billions of dollars to rebuild it. The assets for that, if they're to be available anywhere, it'll be from the Gulf, from Qatar, the UAE, Saudi Arabia and Kuwait. And so, the leader of Syria, Sharaa realized quickly that in fact, if he wants to rebuild Syria, he can no longer just be a Turkish kind of pawn. He has to develop strong links with the Gulf states, and he's developed fairly strong links with MBS, and it was MBS who prevailed upon President Trump to meet with him and to lift the financial sanctions on Syria and that has happened. So, the Syrian government is trying to chart an independent course between not wanting to be a Turkish dependency nor a Saudi dependency but try to attract also investments and money to rebuild the country. That's going to take a very long time. And yes, the big tension in Syria or the big divide is, are we going to have a strong centralized state? Or are we going to have a kind of federated situation where the Kurds have their autonomy, the Druze have their autonomy, the Alawites have their autonomy in different sections, and the Israelis would like the Syrian state to remain extremely weak and decentralized, and the Turks and the Saudis want a strong centralized state because they feel that's the only way to really maintain order and prevent Iran from ever coming back into the country, and then also running an effective reconstruction and redevelopment plan for the country. And so far, the Turks and the Saudis with American help and support seem to have the upper hand. And the recent attacks against the Kurds indicate that the Americans have been going along with this plan for a strong centralized Syrian state rather than a federated or decentralized situation, another source of tension between the Israelis and the Americans, by the way.

Taimur Baig

That's right. Bernie, I hope you've noticed that in the last 25 minutes, I've not mentioned the word Trump even once. It's a perfect way to end the podcast because you began the discussion by talking about how oil, despite Trump's designs on Venezuela and so on, is in some ways, yesterday's story that with the rise of renewables and the glut of supply and the weakening demand from China, we probably don't have massive spike in oil in the pipeline. So, walk us through your thinking and also how Saudi Arabia sort of deals with this.

Bernard Haykel

Yeah, so on oil, I think what we're seeing is, as we mentioned, there's definitely a decline and I think it's a secular decline in Chinese demand. At the moment we're still seeing Chinese demand, at fairly healthy levels because they're actually building their strategic petroleum reserve. They have the largest strategic petroleum reserve in the world. I think they

want to have enough oil for 120 days, which is much more than the United States, for instance. And that's keeping some demand coming to China. But we're not going to see another boom like we saw between 2003, 2004 and 2014, happening again, either in China or for that matter in India. So, we're looking at an oversupplied market. So, the way the Saudis, I think, would want to deal with an oversupplied market, especially since they're not happy at USD50 or USD60 price of oil, is to probably keep increasing production slowly as they have been through this OPEC plus agreement that they have to drive the price low for a period of time to drive out more expensive oil from the market. Here I'm talking mainly talking about Shale in America and we're seeing some of that happening already in the US, some people just shutting in oil production. And what a low price of oil also does is that it stops investments in exploration and development. So, what you end up having is a decline in supply, and then eventually the price rises and the Saudis can take advantage of the next rally of prices, and I think that's what we're looking at. So going forward we're probably going to see very soft prices in the 50 range for several months, probably through the end of this year, and then a rally if a lot of other oil supply gets driven out by the low oil prices. That's the kind of Saudi hope and Saudi play.

Taimur Baig

Not if Donald Trump can help it.

Bernie, I remember, I think this was maybe a decade ago, the very early days of MBS speaking with you, and you were highly prescient on this thing, or rather MBS was prescient on this issue because you told me at that time that this young gentleman who thinks that he'll be around running Saudi Arabia for many, many decades feels that Saudi Arabia will not be able to pump the last barrel of oil because there'll be no demand for it. I remember that very clearly and given what you just said, it sort of resonates back to the fact that MBS, despite the fact that being a relatively young person, has a very long game in mind on this issue.

Bernard Haykel

For sure, and he also realizes that he has the lowest production cost of oil, and he wants to be the last barrel standing, that's ever sold on the market. And so, he's playing a long game, which is another difference I think with the UAE where they're much less interested in the long game and want to produce as much as possible, as quickly as possible.

Taimur Baig

Well, that's a great note to conclude. Bernie, again, thank you very, very much.

Bernard Haykel

Thank you.

Taimur Baig

That was great. Thanks to our listeners as well.

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